

Tempus AI, Inc.

TEM NASDAQ

Buy	\$52.76 ▼ 1.55%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$9.47B
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TEM: Merck Rumor Sparks Life, But Insiders Selling

WHAT HAPPENED

- Stock is down ~10% from Monday's \$58.67 high despite the Merck-related M&A buzz — that tells me the market is more focused on the CEO of Data unit dumping ~\$1.9M of stock on July 8th than the takeover chatter. When insiders sell into strength, retail usually catches on a few days late and unwinds the pop.
- Volume today is tiny (760K vs 4M+ recent avg) — this isn't panic selling, it's a quiet drift lower. That's actually a decent setup: the sellers who wanted out are out, and the options market is screaming bullish (put/call ratio 0.23, meaning traders are buying 4x more upside bets than downside protection).

WHY IT MATTERS

Here's the tension: you have big-money smart signals (ARK at 5.5%, unusual call buying at \$56 strike) betting on upside, but insiders cashing out into rumor-driven strength. That usually means the M&A "takeover battle" narrative is more smoke than fire — insiders wouldn't sell if a real premium bid was coming. The real story going forward is whether Tempus can convert its new agentic AI oncology platform into pharma partnership revenue, because that's the moat that justifies a \$9B+ market cap on a company still losing money. Watch the Q2 print in August — if data licensing revenue (the high-margin piece) accelerates, this stock re-rates higher regardless of M&A noise.

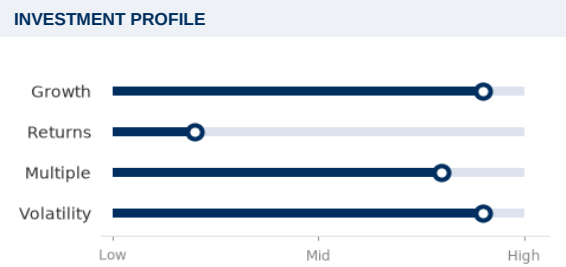
POLICY & POLITICAL WATCH

The big one to watch: Medicare's coverage decisions on multi-cancer early detection (MCED) tests and comprehensive genomic profiling — CMS has been slowly expanding reimbursement, and any formal national coverage determination is a direct revenue unlock for TEM. On the flip side, the Trump administration's HHS is squeezing drug pricing and floating cuts to lab test reimbursement rates under PAMA (Protecting Access to Medicare Act) — if those cuts land, it compresses TEM's diagnostics margins. Also keep an eye on the ongoing AI in healthcare regulatory framework at FDA — TEM is already compliant with the current guidance, so tougher rules actually widen their moat versus smaller genomics startups.

IS IT EXPENSIVE?

At \$9.5B market cap on ~\$715M expected revenue, you're paying about \$13 for every \$1 of sales — that's rich for a company still burning cash, but in line with high-growth AI healthcare peers like Recursion and Schrodinger. The justification is 35%+ revenue growth and the optionality on pharma data licensing deals. Not cheap, but not insane — the stock trading at just 18% of its 52-week range (\$41-\$104) tells you sentiment has already been beaten down from the euphoria highs.

Key Data	
Price (USD)	\$52.76
12M Price Target	\$68.00
Upside / (Downside)	+28.9%
Market Cap	\$9.47B
FY2026E Revenue	\$715M
FY2027E Revenue	\$965M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$62.00	\$54.00	\$46.00
6 Months	\$78.00	\$60.00	\$42.00
1 Year	\$95.00	\$68.00	\$38.00
2 Years	\$130.00	\$85.00	\$30.00
5 Years	\$220.00	\$125.00	\$22.00
10 Years	\$420.00	\$210.00	\$18.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+5% on the week) and Consumer Staples are catching bids — that's defensive rotation, meaning big money is getting cautious about growth. Healthcare up modestly (+1.2%) which is TEM's home turf, but the sector isn't the leader.

COOLING OFF: High-multiple growth and speculative biotech are quietly bleeding — TEM's move from \$58 to \$52 fits that pattern.

ROTATION WATCH: Money is rotating out of expensive AI/growth into cyclical and defensive, which is a headwind for TEM regardless of its own story. Until the rotation reverses, rallies get sold.

RELATED PLAY: If you like the precision medicine thesis but want less volatility, look at Natera (NTRA) — similar oncology diagnostics angle but closer to profitability, and less dependent on pharma partnership timing.

WHO'S WINNING IN THIS SPACE?

- NTRA (Natera): Winning on strong Signatera (cancer recurrence test) adoption and improving Medicare coverage — the reimbursement tailwind TEM needs
- VEEV (Veeva Systems): Life sciences software leader; profitable, growing, and benefiting from same pharma digitization trend that helps TEM

TEM CONTEXT: TEM is lagging its peer group right now — at 18% of its 52-week range while healthcare sector is positive, it's underperforming. That's either a buying opportunity if you believe in the story, or a warning that something's off. The insider selling suggests be patient — let it find a floor near \$48-50 before adding.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term AI-in-oncology thesis, but insider selling into M&A rumors and a sector rotation out of growth means I'm not pounding the table here

POSITION SIZE: 2-4% of portfolio — the upside is real (this could be a \$100+ stock) but so is the volatility (52-week range spans a 2.5x difference)

ENTRY POINTS: I'd scale in — a starter position here at \$52, add at \$48, back up the truck if it touches \$42-45 on a market flush

TIME HORIZON: 12-24 months, with the Q2 earnings print in August as the near-term catalyst that either confirms or breaks the thesis

WHEN TO BAIL: If Medicare announces genomic test reimbursement cuts, if they raise capital at a discount to current price, or if data licensing revenue growth decelerates below 25% year-over-year

HEDGING: Simplest way — keep the position small enough that a 40% drawdown doesn't ruin your week. If you want to get fancy, buy some cheap \$40 puts as insurance against a broader growth-stock selloff